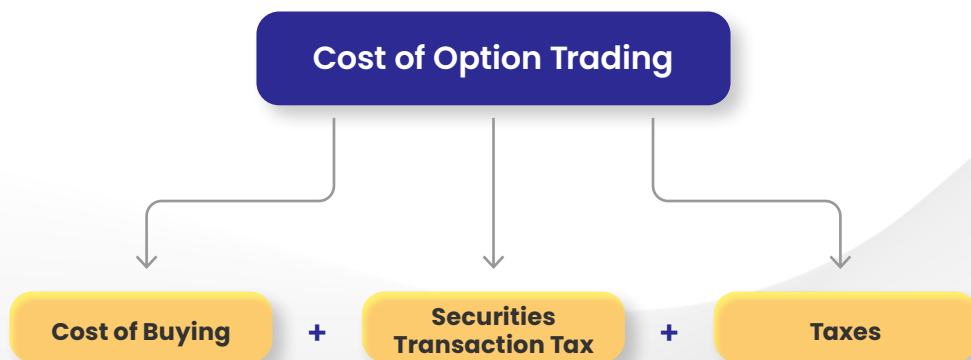


The B-S model has widespread applicability. However, it has one key limitation. It focuses mainly on the underlying asset's price without considering vital factors such as dividends, interest rates, changes in volatility, external shocks, and market regulator actions. Hence, the results of the B-S model are often adjusted to match real-life conditions. It creates a dependence on other models.

Further, the B-S model cannot be used to value American options. However, this limitation is irrelevant to Indian traders since all Indian options are European.

6.2 Cost of Option Trading

When you trade options, you must be mindful of three costs: **taxes, securities transaction tax (STT), and the costs of buying**. In this section, let us discuss these costs in detail.



6.2.1 Taxes

Any profits from futures and options (F&O) trades are considered business income, not capital gains. As a result, these gains may attract a tax rate of 0% to 30%, depending on your income tax slab. When you file your income tax returns, you must also include the details of your F&O trading profit and any related expenses.